

The TSA Exit Plan Workbook

A month-by-month operating structure, a service-by-service exit acceptance matrix, and the failure patterns that account for most TSA exits that run long.

BEFORE YOU START

The exit date and the exit plan are different documents

Every TSA has an exit date written into it. Very few have a working operating plan behind that date — the milestones, owners, and acceptance gates that actually get the buyer to standalone capability on schedule. A signed date with no plan behind it is a hope, not a schedule.

This workbook gives you the structure to build that plan: a service catalogue, a month-by-month sequence, an exit acceptance matrix per service, and the failure patterns worth knowing about before they happen to you.

WHY THIS MATTERS

Typical extension escalation on a missed exit date	15-25% / month
Seller cost-takeout lag if started only at TSA end (BD Emerson)	12-24 months
PwC-observed TSA value uplift from early, disciplined exit	5-7%

STEP 1

Build the service catalogue first

Every service, owned on both sides, with a target exit date and its dependencies. This is the single most valuable document in the exit plan, and the one most often left incomplete because it's built once at signing and never revisited.

Service	Owner (Seller)	Owner (Buyer)	Target Exit	Key Dependency

STEP 2

A month-by-month structure

No single sequence fits every TSA — an ERP separation and a shared facilities agreement run on entirely different clocks. But for a programme operating across a roughly twelve-month window, this structure is a useful starting point.

Phase	What Happens
Months 0-1	Establish the baseline: full service catalogue, owners on both sides, target exit dates, dependencies between services.
Months 2-3	Decide build, buy, migrate, or terminate for each service. Not every service needs a from-scratch replacement.
Months 4-6	Execution: data migrations, vendor contracting, early build work. The longest and least visible phase.
Months 7-9	Cutover preparation: UAT, mock cutover rehearsals, acceptance criteria defined per service.
Months 10-12	Service exits and economic close-out. Buyer accepts replacement capability; seller's stranded-cost removal progresses against the same calendar.

Rehearse before you exit. Mock cutovers expose missing dependencies and reconciliation issues while there's still time to fix them. For complex service exits, rehearsing more than once provides materially better evidence of readiness than a first production attempt.

STEP 3

The exit acceptance matrix

For every service, four questions determine whether it's actually ready to exit — not one:

Complete
Is replacement capability built?
Evidenced
Has it been tested against real criteria?
Unblocked
Are its prerequisites genuinely resolved?
Ready
Can the downstream process now run on it?

Exit acceptance matrix — worksheet

Service	Exit Condition	Evidence	Approver	Downstream Dependency
Payroll	Successful parallel run	Reconciliation report	HR + Finance	Employee pay
ERP	Financial data reconciled	Trial balance / UAT	CFO / CIO	Close, AP/AR
Identity	Users authenticate independently	Access test	CIO / CISO	Almost everything else
Billing	End-to-end invoice generated	Transaction evidence	Commercial + Finance	Cash collection
_____	_____	_____	_____	_____
_____	_____	_____	_____	_____
_____	_____	_____	_____	_____
_____	_____	_____	_____	_____

STEP 4

The artefacts that make this real

Artefact	Purpose
TSA service catalogue	Every service, owner, pricing, exit criteria, dependencies
Cutover runbook per service family	Go/no-go gates and a rollback plan if the cutover doesn't pass
Cost and benefits tracker	TSA spend burning down against separation costs and run-rate, reconciled with finance
Risk and commitments register	Regulatory filings, data obligations, customer commitments with independent deadlines
Exit acceptance matrix	The worksheet above, per service

STEP 5

Failure patterns worth knowing in advance

The same patterns recur repeatedly in practitioner guidance, independent of deal specifics:

Pattern	Why It Happens
Under-scoped TSAs	The catalogue is based on what people remember using, not a systematic cross-walk of process to system to data to person.
Identity left until last	Directory and SSO migration is foundational to almost every other cutover — treating it as one item among many is a common sequencing error.
Payroll without a parallel run	Running old and new systems side-by-side for one cycle catches discrepancies before they become a real missed payment.
Big-bang billing migrations	Cutting every customer over simultaneously, without piloted cohorts, converts a manageable rollout into a customer-facing incident.
Gold-plating the standalone build	Building the fully-featured target state before exit extends the timeline — and usually gets refined post-exit anyway.

Why the plan matters more than the date

The exit date is what gets negotiated and signed. The plan behind it — the milestones, the owners, the acceptance criteria, the artefacts that make progress checkable rather than asserted — is what determines whether that date is met, missed by a manageable margin, or missed badly enough to trigger step-up pricing.

The date is the commitment. The plan is the thing that has to actually be true for the commitment to hold.

This workbook reflects the same operating logic behind TSA exposure and exit-risk modelling in the MeridianCogent platform. Using it requires no software — a spreadsheet and a disciplined owner are enough to start.

Sources: Mayer Brown, "Negotiating Transition Services Agreements in Carve-Out M&A Deals"; BD Emerson, "TSA Exit Planning and Stranded Costs"; Introlution, "Carve-Outs & TSAs: Exit Cleanly and On Time"; PwC, TSA exit value analysis. Full sourced articles at meridiancogent.com/resources.

WHAT WE DO

The execution layer for M&A separations and integrations

A carve-out is scope, obligations, contracts, costs, systems, people and dates, all moving at once and depending on each other. MeridianCogent holds them in one place, and shows which commitments are still real.



- The perimeter register — what transfers, what is retained, and what remains disputed
- Obligations, conditions precedent and the consent register
- TSA exposure, step-up pricing, and exit-risk modelled against real dependencies
- Systems and decommission sequencing tied directly to Day 1 readiness
- A synergy ledger, integration budget and cost-to-complete tracking
- An append-only decision record — a named human behind every material number
- Programme-scoped access, built for deals that are not public yet

Built for separation offices, integration and PMI teams, corporate development running several deals at once, and the advisors and counsel working alongside them — buy-side and sell-side, corporate and sponsor.